

ZIGGING AND ZAGGING

However, to all this should be added something of equal importance if an investment is to prove a genuine bonanza. The largest profits in the investment field go to those who are capable of correctly zigging when the financial community is zagging. If the future of the Food Machin-ery Corporation had been properly appraised at that time, the profits that were to accrue to those who bought the shares in the 1932–1934 period would have been very much smaller. It was only because the true worth of this company was not generally recognized and Food Machin-ery was thought to be just another of the many “flaky” companies which were sold to the public at the height of a speculative orgy that it was possible to buy these shares in quantity at the ridiculous price to which they had sunk. This matter of training oneself not to go with the crowd but to be able to zig when the crowd zags, in my opinion, is one of the most important fundamentals of investment success.

I wish I had the command of English to be able to describe adequately the degree of my internal, emotional and intellectual excitement as I contemplated what this as yet financially unrecognized Food Machinery Corporation might do for both my tiny personal finances and for the infant business I was attempting to get started. My timing seemed right. Like a spring that had been compressed too far and was starting to recoil, the years from 1933 to 1937 were to see stocks as a whole advancing slowly at first, and then bursting into a full bloom bull market, followed by a sizable break in 1938 and a full recovery the following year. With a deep conviction that Food Machinery would vastly outperform the market as a whole, I bought my clients every share that I was able to convince them to hold. I made the possibilities of this business the spearhead of my approach in talking to any potential clients I could reach. I felt that here was just the type of unique, almost once in a lifetime, opportunity that Shakespeare so well described when he said, “There is a tide in the affairs of men which, taken at the flood, leads on to fortune.” In those exciting years when my hopes were high and both my purse and reputation in the financial community were almost non-existent, I quoted those exciting words to myself time and time again to stiffen my determination.